

****Is the provider of colocation considered a data processor?****

Date: 17-03-2023

****Decision****

Private companies

Response to inquiry

Data Processor

Based on a specific inquiry, the Danish Data Protection Agency has addressed whether colocation of servers used for processing personal data implies that the provider of colocation should be considered a data processor for the relevant processing.

Journal number: 2022-212-3470.

****Summary****

Region Midtjylland has contacted the Danish Data Protection Agency to obtain the agency's assessment of whether an IT company that provides colocation should be regarded as a data processor for the organization to which the service is provided.

In its response to Region Midtjylland, the Danish Data Protection Agency stated that it is the agency's assessment that a company, authority, or other organization providing colocation should not be considered a data processor for the organizations to which the service is provided. This is particularly true if the colocation provider does not have access to the personal data being processed on the servers, etc., that the provider stores.

The Danish Data Protection Agency believes that the provision of colocation primarily concerns the delivery of a service other than the processing of personal data, specifically physical facilities as well as internet and power supply. However, this is merely a starting point.

In its response to Region Midtjylland, the Danish Data Protection Agency pointed out a number of circumstances that may lead to the company providing colocation being considered a data processor nonetheless.

1. ****The Inquiry****

Region Midtjylland contacted the Danish Data Protection Agency on February 17, 2022, with a question about whether colocation of servers used for processing personal data implies that the provider of colocation should be regarded as a data processor for the relevant processing.

Region Midtjylland had previously contacted the Danish Data Protection Agency on November 5, 2018, and again on February 10, 2021, with, among other things, the above question.

In this context, Region Midtjylland stated that colocation is a storage service provided by IT companies. The region places its own servers in a server cabinet at a company that provides the server cabinet. In addition, the company provides a number of services, which include (i) internet connection to and from the region's server, (ii) physical measures to ensure supply security and protect against physical and environmental incidents (including power failures, water damage, and fire), and (iii) physical area security (alarms, locks, etc.).

The service provided by the company is not intended to process personal data on behalf of the region. The company is instead responsible for physical security.

2. ****Response****

Article 4, No. 2 of the General Data Protection Regulation defines processing as any activity or series of activities – whether or not by automated means – to which personal data or a set of personal data is subjected.

Furthermore, it is stated in No. 8 of the provision that a data processor is a person or organization that processes personal data on behalf of the data controller.

It is the Danish Data Protection Agency's overall assessment that a company, authority, or other organization providing colocation should not be considered a data processor for the organizations to which the service is provided.

This assessment assumes that the company providing colocation does not have access to personal data being processed on the servers, etc., that the company stores. This may, for example, be the case where the customer has placed its own servers, which have been connected to power and

internet, in a locked server cabinet to which only the customer has access.

Thus, the service does not, in the Danish Data Protection Agency's view, consist of processing personal data on behalf of and according to the instructions of the company or authority to which the service is provided.

The provision of colocation primarily concerns the delivery of a service other than the processing of personal data, specifically physical facilities as well as internet and power supply. Furthermore, the company providing colocation, as a starting point, does not have access to the information stored on the servers. This means that the service is of a purely practical nature.

However, the Danish Data Protection Agency notes that this is merely a starting point. A number of circumstances may lead to the company providing colocation being considered a data processor to some extent. This may be the case, among other things, if:

- The company has access to the personal data, e.g., access to the server cabinet, and can access the information being processed on the servers.
- The company can (and may have the task of) replacing hard drives, memory, etc., on the servers being stored.
- The company can (and may have the task of) moving, restarting, or otherwise handling the servers where the information is processed.
- The company provides additional services beyond physical facilities as well as power and internet.

Regarding point d), this may, for example, involve services in the form of firewall, backup, redundancy, or other similar security measures that involve the processing of personal data. It is noted in this context that the data processing service in question pertains to this (supplementary) service and not necessarily to the actual provision of colocation.

Furthermore, the Data Protection Authority notes that the company providing colocation will, as a general rule, be the data controller for the processing of personal data that occurs as part of the physical security measures established by the company. This may include, among other things, registration of visitors, logging of key cards, video surveillance, etc. Organizations that use colocation, however, remain obligated – as the data controller – to establish appropriate processing security, cf. Article 32 of the General Data Protection Regulation. This implies that the organization must be aware of the security measures that the company providing colocation has established and assess whether these are sufficient in relation to the risks associated with the specific processing activity.

[1] In this context, reference is made to section 3.1.1 of the Data Protection Authority's guidance on data controllers and data processors, p. 7f., as well as section 5 of the European Data Protection Board's guidelines on the concepts of data controller and data processor, p. 28ff.